

# LENNOX INTERNATIONAL INC LII

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by

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|                      |        |          | 2026  | 2027  |
|----------------------|--------|----------|-------|-------|
| Price:               | 366.00 | EPS      | 23.50 | 26.00 |
| Shares Out. (in M):  | 35     | P/E      | 15.6  | 14.1  |
| Market Cap (in \$M): | 12,736 | P/FCF    | 15.9  | 15.0  |
| Net Debt (in \$M):   | 1,512  | EBIT     | 1     | 1     |
| TEV (in \$M):        | 14,248 | TEV/EBIT | 11.6  | 10.7  |

## Description

The resi HVAC market is bottoming and Lennox is trading at its cheapest multiple in over a decade with the stock down close to 50% from its 2024/25 peak, setting the stage for both earnings growth and multiple expansion in the coming years. Despite the recent residential weakness, Lennox has exhibited resiliency in EPS (flat to up in 2025 and 2026) due to continued growth in its light commercial business, providing an offset while residential recovers. The market's recent overreaction due to perceived share loss in its core replacement market provides a compelling entry point with comps set to get materially easier especially as AHRI industry data improves. With just a return to its 10-year average multiple the stock could have >50% upside in two years.

I previously pitched Lennox as a short 4 years ago on the premise that industry volumes were at peak due to covid pull forward and that affordability after significant industry price increases would mean a collapse in demand. The stock pitch was dead wrong, as 2022 ended up being the peak for shipments but pricing continued to be a tailwind to revenue and margins and the 2024 pull forward in demand from the refrigerant change caused earnings to come in far better than expected for the entire industry. For Lennox particularly, this enabled the company to de-lever and even do some M&A, and its new commercial plant buildout has been a huge success with the commercial business growing earnings significantly through both revenue and margin expansion with margins now roughly inline with residential.

So what changed since then to flip to long? In 2025, shipments were down 20% industry wide and are not expected to grow much this year which means there has now been a few years of lower replacement demand (with more repair which is just a deferral) that brings the replacement math more inline with the expected life of the installed base and a more normal trend line growth from here – ie, much of the excess is now out of the system. There is very much still an affordability and pricing issue but the industry finally seems well aware of it and is increasing prices at a more traditional LSD rate – plus, there is an affordability issue in almost everything, so the consumer is more conditioned and with less people moving and with equity in their homes they are more willing to reinvest. Starting from a lower base of volumes, a normal level of volume growth off what should be close to the trough, plus LSD volume, should yield decent growth in the residential business of which is still Lennox' argest part of its business. What has gotten worse is the housing environment but that also seems to be bouncing along the bottom versus getting materially worse even with rates being higher and affordability worse. Any improvement in housing turnover should lead to improved HVAC volumes.

Since the 2Q earnings call, LII has de-rated significantly, down ~35% from just a ~2% EPS guidance adjustment on the low end. Management lowered its resi volume guidance while increasing commercial, and if not for tariff refunds, the EPS guidance would have been lowered a bit more. More importantly, the company had made a deliberate effort to not keep a significant chunk of its low margin resi new construction book, which caused residential volumes YoY to be well below peers. While planned, the level of loss caught the company off guard as homebuilders exert their pricing power in a weak housing market. Lastly, because most of LII's resi business is through its own distribution channel, it did not get the benefits of the inventory restocking in the distribution channel. This caused LII's resi volumes, even absent the RNC loss, to be below peers. I believe the 2Q reaction to be overdone as 1) LII outperformed resi competitors in prior years when the channel was destocking and mgmt. appears to be confident it has not lost share in its core replacement market, 2) reported industry shipment volumes the last few months have been growing, showing some green shoots, and 3) getting out of the low margin RNC business should free capacity for higher margin replacement demand if the cycle turns and Lennox' margins should be structurally higher without the lower margin RNC business. Heading into 2H26 and 2027, comps get materially easier which should drive a second derivative improvement in results. From 3Q25 to 2Q26, resi volumes were -23%, -34%, -21%, and -12% YoY. This quarter even showed improvement on a YoY basis despite 2Q being the largest impact from the RNC business with much of the decline driven by the one-step channel (ie the RNC loss).

LII is today trading at just 16x the low end of 2026 EPS and 14x 2027E. This compares to an average of ~20x over the last decade (with a range of 14-29x), or a ~25% discount. On EBITDA it is trading at just 11.7x and 10.8x 2026/27 versus a historical average EBITDA multiple of ~16x (12-21x range), or 30% discount. The discount is even larger versus peers that are more commercially exposed (CARR the lowest at 14x EBITDA, TT at 19x, JCI 18x, WSO ~16x).

At 20x consensus 2028 EPS of ~\$28.50, which implies a ~4.5% resi CAGR, LII could be worth ~\$570 for >50% upside, which isn't very heroic given that's where it was pre-2Q earnings. Even if resi bounces along the bottom and commercial declines, downside is protected by the current decade+ trough multiple. With just over 1x leverage, LII is well positioned to do accretive M&A in the residential area, including more in the parts space where it has recently been buying companies to better serve its contractor customer base. I also expect the company to be quite active repurchasing shares. At current price, the risk-reward seems compelling enough to wait out the resi recovery even if 2H continues to be weaker than expected.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

## Catalyst

Improved YoY growth trends in the residential business

Share repurchases

## Messages

No messages